

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-16

SAMSUNG ELECTRONICS AMERICA, INC.,

Complainant,

v.

COSCO SHIPPING LINES CO., LTD.

Respondent and Third-Party Complainant,

v.

SAMSUNG ELECTRONICS COMPANY, LTD., SAMSUNG SDS GLOBAL SCL ASIA
PACIFIC PTE LTD, AND SAMSUNG ELECTRONICS LOGITECH COMPANY, LIMITED

Third-Party Respondents.

**THIRD-PARTY RESPONDENT SAMSUNG SDS ASIA PACIFIC PTE LTD, S/H/A
SAMSUNG SDS GLOBAL SCL ASIA PACIFIC PTE LTD'S MOTION TO DISMISS
THIRD-PARTY COMPLAINT**

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PRELIMINARY STATEMENT

Third-Party Respondent Samsung SDS Asia Pacific Ptd Ltd, sued here as Samsung SDS Global SCL Asia Pacific PTE Ltd. (“SDS”), by its undersigned attorneys, respectfully submits this Motion to Dismiss the Third-Party Complaint filed by COSCO Shipping Lines Co., Ltd. (“COSCO” or “Third-Party Complainant”) for failure to state a claim upon which relief can be granted.

INTRODUCTION

On March 22, 2024, Samsung Electronics America, Inc. (“SEA”) filed a Verified Complaint (Doc. No. 01) against COSCO asserting that COSCO, as an ocean common carrier subject to the Commission’s jurisdiction, had engaged in a pattern of conduct in violation of the Shipping Act of 1984, 46 U.S.C. § 40101, *et seq.* (the “Shipping Act”). COSCO filed a Motion to Dismiss the Complaint (Doc. No. 16) on May 9, 2024, which was denied in part and granted in part on April 11, 2025. (Doc. No. 25). Pursuant to this tribunal’s April 11, 2025, ruling, SEA filed its Verified Amended Complaint on April 25, 2025 (Doc. No. 26). On May 12, 2025, Respondent filed its Verified Answer to the Amended Complaint which included a Counterclaim against SEA, alleging violations of 46 U.S.C. § 41102(a) (Doc. No. 30) (“Counterclaim”).¹ Also on May 12, 2025, COSCO filed its Third-Party Complaint (Doc. No. 31) (“TPC”) against SDS, Samsung Electronics Co., Ltd. s/h/a Samsung Electronics Company, Ltd. (“SEC”), and Samsung Electronics Logitech Co., Ltd. s/h/a Samsung Electronics Logitech Company, Limited (“Logitech”) (SDS, SEC, and Logitech collectively “Third-Party Respondents” or “Samsung Respondents”). Service of the Third-Party Complaint was made on SDS on July 8, 2025, in accordance with the provisions of the Convention on the Service Abroad of Judicial and Extrajudicial Documents in Civil and

¹ The Presiding Officer may note the numerous references to the Counterclaim in this motion. The reason is simple: the allegations in the Counterclaim are closely linked to the allegations in the Third-Party Complaint. Thus, in order to understand the infirmities of the Third-Party Complaint, reference to the Counterclaim is necessary.

Commercial Matters, November 15, 1965, 20 U.S.T. 361, T.I.A.S. No. 6638 (the “Hague Convention”)(Doc. No. 55).

46 U.S.C. § 41102(a), titled “Obtaining Transportation at Less Than Applicable Rates,” provides that:

A person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.

COSCO’s third-party complaint alleging a violation of the statute exclusively relies on (1) an alleged “concealment” by SDS (along with SEA, SEC and Logitech) of its disagreement with COSCO’s detention, demurrage and other charges arising under certain service contracts; and, (2) (by way of the allegations in the Counterclaim) that SEA subsequently served a pre-litigation demand and filed a complaint with the Commission against COSCO (Counterclaim ¶ 71). In so doing, COSCO claims that SDS has violated, *inter alia*, 46 U.S.C. § 41102(a) by “inducing COSCO to enter into Service Contracts on the rates, terms, and conditions set forth therein, and to provide services thereunder, concealing their disagreement with the clear terms of the Service Contracts....Through such knowing and willful conduct, Third-Party Respondents used this unjust and unfair device or means to obtain attempt to obtain ocean transportation at less than applicable rates and terms.” (TPC ¶¶ 65-66).

But COSCO has failed to plead sufficient factual allegations to support its third-party complaint against SDS with respect to all the elements that constitute a valid § 41102(a) claim. The third-party complaint does not plausibly allege any facts that SDS attempted, either successfully or otherwise, to obtain ocean transportation at less than agreed rates, or that any such attempts were by any cognizably false, unjust, or unfair means, or that any such attempts

were conducted knowingly and/or willfully, directly or indirectly. In short, COSCO has utterly failed to state a claim upon which relief can be granted, and the third-party complaint against SDS should be dismissed with prejudice.

The futility of COSCO's § 41102(a) third-party complaint against SDS is inescapable as a matter of law. The same flawed legal theory has already been rejected in two other cases – *Samsung Electronics America, Inc. v. Orient Overseas Container Line, Limited and OOCL (Europe) Ltd.*, FMC Dkt. No. 24-17 (Doc. No. 38)(ALJ Mar. 31, 2025), *aff'd in part and remanded*, (Doc. No. 66)(FMC Jul. 30, 2025) and *Samsung Electronics America, Inc. v. SM Line Corp.*, FMC Dkt. No. 23-01 (Doc. No. 59)(ALJ Jan. 31, 2024). In both matters, the Presiding Officer (and in the OOCL matter, the Commission) dismissed as a matter of law nearly identical Section 41102(a) claims as asserted here by COSCO. COSCO's third-party complaint against SDS should suffer the same fate.

BACKGROUND

I. Factual Allegations

As alleged by COSCO, the sequence of events in this matter is straightforward. SEC and COSCO allegedly negotiated service contracts in 2021 and 2022 (TPC ¶¶ 9–11). After negotiations certain service contracts were allegedly signed by SDS and Logitech (TPC ¶¶ 13–19). Under the terms of the service contracts, goods transported by COSCO were consigned to SEA (TPC ¶ 21). Certain charges incurred in the United States for demurrage, detention and other costs were assessed by COSCO and paid by SEA albeit SEA declined to pay certain invoices (Counterclaim ¶¶ 40, 42-43, 75). Beginning in 2022, SEA complained to COSCO of overcharges (Counterclaim ¶ 42). Communications were exchanged back and forth between COSCO and SEA to no avail (Counterclaim ¶¶ 42-48, 50-51) and in 2024 SEA filed the action herein against COSCO. In

response, COSCO filed its Counterclaim against SEA and the Third-Party Complaint against SEC, SDS and Logitech.

In its Third-Party Complaint, COSCO alleges that SDS signed two specific service contracts that were filed with the Commission (TPC ¶¶ 16 and 17). That is the only COSCO allegation in which SDS is named individually.²

II. Conclusory and Absent Allegations

COSCO's allegation that SDS is liable for a violation of 46 U.S.C. § 41102(a) rests entirely on the allegation that SDS along with SEC, Logitech and SEA, at the time of the negotiation of the service contracts, "concealed" a "disagreement" with the terms of the service contracts addressing the charges later disputed (or not paid) by SEA (TPC ¶¶ 46-47, 49) and thus acted in "bad faith" (TPC ¶¶ 55-56). COSCO further alleges that had it known of this "concealed disagreement," it would not have offered the rates set out in the service contracts (TPC ¶ 48).

There is no allegation that SDS was involved in the negotiations in the first place. In fact, the Third-Party Complaint itself refers only to SEC and COSCO as parties to the negotiation (TPC ¶¶ 9-12). It was only after the conclusion of the negotiations that SDS allegedly was tasked to enter into service contracts with COSCO (TPC ¶¶ 13, 16-17).

There are no facts (only conclusory statements) alleged as to SDS's state of mind or evidence or indication of the "concealed disagreement" by SDS (or indeed SEC, Logitech or SEA) at the time of the negotiation and execution of the service contracts.

Nor are there any allegations that SDS declined to make any payments to COSCO or

² For the purposes of this Motion to Dismiss, SDS acknowledges that the Presiding Officer must accept COSCO's factual allegations as true. *See Maher Terminals, LLC v. the Port Authority of New York and New Jersey*, FMC Dkt. No. 12-02, 2015 WL 9426189, *12 (FMC Dec. 18, 2015)(in the context of a Fed. R. Civ. P. 12(b)(6) motion, "[T]he Commission must accept as true all factual allegations and construe them in the light most favorable to the complainant."). That said, if this matter proceeds, SDS intends to vigorously contest the validity of COSCO's allegations.

demanded any refunds or refused to provide information.

In short, there is nothing in the Third-Party Complaint – certainly nothing detailed and informative enough - to state an actionable or legitimate claim against SDS for a violation of 46 U.S.C. § 41102(a).

LEGAL STANDARDS

I. It is Proper for SDS to Assert a Fed. R. Civ. P. 12(b)(6) Motion in this Proceeding

The Commission’s Rules of Practice and Procedure (“Rules”) do not explicitly address a motion to dismiss (other than for failure to prosecute or to follow the Commission’s rules or orders: 46 C.F.R. § 502.72). Rule 12 (46 C.F.R. § 502.12), however, states that in instances where there is no FMC Rule, then the Federal Rules of Civil Procedure will apply, so long as they are consistent with sound administrative practice. The “Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction, and to Rule 12(b)(6) when considering dismissals based on failure to state a claim.” *MAVL Capital v. Marine Transport Logistics*, Docket No. 16-16, 2020 WL 1312925, *4 (FMC Oct. 29, 2020).

Given the infirmities of COSCO’s third-party complaint against SDS, SDS’ invocation of Fed. R. Civ. P. 12(b)(6) is proper.

II. Standards of Review and Pleading: General

There is a considerable body of FMC decisions addressing the application of Fed. R. Civ. P. 12(b)(6) in the context of proceedings before the FMC.

“In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rules of Civil Procedure 12(b)(6) and the federal case-law interpreting it.” *Cornell v. Princess Cruise Lines, Ltd.*, FMC Dkt. No. 13-02, 2014 WL 5316340, *6 (FMC Aug. 28, 2014) (citing *Mitsui O.S.K. Lines Ltd. v. Global Link*

Logistics, Inc., FMC Dkt. No. 09-01, 2011 WL 7144008, *11 (FMC Aug. 1, 2011)); *see also MAVL Capital*, 2020 WL 6445041 at *4 (the Commission looks to Fed. R. Civ. P. 12(b)(6) when considering dismissals for failure to state a claim). The Commission ruled in *Mitsui* that:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to ‘state a claim to relief that is plausible on its face.’ *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). . . . The complaint must be sufficient to ‘give the defendant fair notice of what the ... claim is and the grounds upon which it rests.’ *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)); *see also* 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* §1215 (3d ed. 2010) ([‘T]he test of a complaint’s sufficiency simply is whether the document’s allegations are detailed and informative enough to enable the defendant to respond.’).

Mitsui, 2011 WL 7144008 at *12. Thus, a “pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.’” *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (quoting *Twombly*, 550 U.S. at 555).

To satisfy the plausibility standard, the plaintiff must show “more than a sheer possibility that the defendant acted unlawfully.” *Iqbal*, 556 U.S. at 678. “Furthermore, while the court must accept well-pleaded facts as true, ‘it will not strain to find inferences favorable to the plaintiff.’” *Taha v. William Marsh Rice University*, Civil Action No. 11-2060, 2012 WL 1576099, *2 (S.D. Tex. May 3, 2012)(quoting *Southland Sec. Corp v. Inspire Ins. Solutions, Inc.* 365 F.3d 353, 361 (5th Cir. 2004)(quoting *Westfall v. Miller*, 77 F.3d 868, 870 (5th Cir. 1996))). On a motion to dismiss, courts “are not bound to accept as true a legal conclusion couched as a factual allegation.” *Papasan v. Allain*, 478 U.S. 265, 286 (1986). “Rather the inquiry is whether the allegations in the Complaint plausibly state a claim for relief.” *Hicks v. Department of Public Safety and Corrections*, 595 F. Supp 3d 463, 470 (M.D. La. 2022), *aff’d in part and dismissed in part on other grounds*, 81 F.4th 497 (5th Cir. 2023)(emphasis in original). *See also Maher Terminals*, 2015

WL 9426189 at *12 (The plausibility standard does not require the acceptance of legal conclusions as true or the drawing of inferences unsupported by the allegations.)

COSCO's allegations against SDS of a "concealed disagreement" and "bad faith" is a paradigmatic example of a "legal conclusion couched as a factual allegation." Moreover, consistent with the precedent, the Presiding Officer need not accept COSCO's legal conclusions as true nor need the Presiding Officer draw any adverse inference against SDS as such inferences are completely unsupported by proper allegations.

III. Standards of Review and Pleading: Fed. R. Civ. P. 9(b)

SDS respectfully submits that heightened pleading requirements should apply to any claim alleging fraudulent conduct, including in the case of a claim alleging unjust or unfair devices under 46 U.S.C. § 41102(a). While Rule 62(a)(3)(iii)(46 C.F.R. § 502.62) of the Commission's Rules is similar to Fed. R. Civ. P. 8's requirement for a "short and plain statement of the claim showing the pleader is entitled to relief," the Commission has no specific rule regarding allegations of fraud or mistake. Accordingly, pursuant to Rule 12 of the Commission's Rules, on a motion to dismiss a pleading, the Presiding Officer should refer to Fed. R. Civ. P. 9(b), which establishes a heightened pleading standard for claims involving fraud. 46 C.F.R. § 502.12 ("for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure *will* be followed to the extent that they are consistent with sound administrative practice.")(emphasis added).

Concerning the application of Fed. R. Civ. P. 9(b) to a proceeding involving 46 U.S.C. § 41102(a), SDS is mindful of decision very recently issued by the Commission which affirmed an ALJ's dismissal of a § 41102(a) counterclaim lodged against SEA, *Samsung Electronics America, Inc. v. Orient Overseas Container Line, Limited and OOCL (Europe) Ltd.*, FMC Dkt.

No. 24-17 (Doc. No. 38)(ALJ Mar. 31, 2025), *aff'd in part and remanded*, (Doc. No. 66)(FMC Jul. 30, 2025).

In *OOCL*, the Commission stated that “Because the ALJ did not decide the issue of whether the more demanding pleading standard should apply to section 41102(a) allegations, the Commission need not reach that issue *at this time*.” (Doc. No. 66 at 13 n.1)(emphasis added). In that same footnote, the Commission addressed *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, FMC Dkt. No. 09-01, 2011 WL 7144008 (FMC Aug. 1, 2011) and OOCL’s arguments concerning same by stating, “OOCL argues that the Commission has repeatedly declined to apply such a standard, and that the majority in the Mitsui case *effectively rejected* it.” *Id.* (emphasis added). The Commission goes on to observe that “SEA does not dispute that “the *Mitsui* majority rejected the argument that a higher standard should apply.” (*Id.*) However, upon examination of *Mitsui*, OOCL’s argument that the majority opinion in Mitsui “effectively rejected” the heightened pleading standard is not correct; if such rejection was actually intended, it was *sub silentio*.

To understand *Mitsui*, reference needs to be made to the underlying opinion of the ALJ, *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, FMC Dkt. No. 09-01, 2010 WL 11914641 (ALJ Jun. 22, 2010). The ALJ cited a 1993 Commission proposal that proposed that violations of the statute be alleged “with particularity,” however, the proposal was not adopted. As such, the ALJ declined to impose the requirements of Fed. R. Civ. P. 9(b) on the complainant. 2010 WL 11914641 at *19. On appeal of this decision, the majority did not discuss or address this aspect of the ALJ’s finding at all. Moreover, it is not clear if the precise issue was in fact placed before the Commission in the appeal. As noted in Commissioner Khouri’s concurrence in part and dissent in part: “Further, though not before the Commission by standard procedural

rule at the time, there are several important issues raised by the ALJ's June 22, 2010, Memorandum and Order...which I believe should be addressed and either modified or corrected. Therefore, I have added a discussion of these matters to this concurrence and dissent." 2011 WL 7144008 at *33.

Concerning the application of Fed. R. Civ. P. 9(b) to FMC proceedings, Commissioner Khouri stated:

Going beyond the correct formulation of FRCP 8(a) pleading standards as discussed above, I further find that where Section 10(a)(1)[46 U.S.C. § 41102] requires a showing of "fraud or concealment", as expressly required by *Rose International, Inc. v. Overseas Moving Network International, Ltd., et al*, 29 S.R.R. 119 (FMC, 2001), such matter must be plead with sufficient particularity in conformity with FRCP 9(b). *Id.* at 163. [I] find this to be a matter of fundamental fairness and due process.

....

Further, the Commission's own regulation in 46 CFR Section 545.2 provides that bad faith or deceit is required in a Section 10(a)(1) case. In addition to the reasons discussed in previous sections, I find that the Commission must apply FRCP 9(b), which provides the standards alleging fraud or a mistake and further states that a party must plead 'with particularity' the circumstances which would constitute the fraud or mistake. Fed. R. Civ. P. 9(b).

Id. at *38 and *42 (footnote in the latter quote omitted).

In summary on this point, given the silence of the majority of Commissioners in *Mitsui* and in view of Commissioner Khouri's considered and articulate statements, SDS submits that *now* is the time for this issue to be reached.

Given that the heightened pleading requirements are ripe for fuller consideration by the Presiding Officer (and the Commission), a discussion of such requirements is proper.

Federal courts have treated Fed. R. Civ. P. 12(b)(6) as inherently tied to the federal pleading rules, and as such, Fed. R. Civ. P. 12(b)(6) should be read in conjunction with Fed. R. Civ. P. 9(b). *See, e.g., Li v. Kerry*, 710 F.3d 995, 998 (9th Cir. 2013) (court noting that Fed. R. Civ. P. 12(b)(6) is read "in conjunction with" the pleading rules); *Griggs v. Ameriquest Mortg.*

Co., No. 1:06-CV-3147, 2007 WL 9703155, *2 (N.D. Ga. Apr. 25, 2007), *report and recommendation adopted*, 2007 WL 9703156 (N.D. Ga. May 24, 2007)(“the legal sufficiency of a complaint under FRCP 12(b)(6) is determined by whether the complaint states a claim upon which relief can be granted in light of the pleading requirements of Rules 8 and 9...”). As such Fed. R. Civ. P. 9(b)’s heightened pleading requirements are part and parcel of the Fed. R. Civ. P. 12(b)(6) analysis.

Fed. R. Civ. P. 9(b) provides that “[i]n alleging fraud or mistake, a party must state with particularity the circumstances constituting fraud or mistake.” The purpose of requiring particularity with respect to fraud claims is (1) to provide the defendant with fair notice of the plaintiff’s claim, (2) to safeguard a defendant’s reputation from improvident charges of wrongdoing, and (3) to protect a defendant against the institution of a strike suit. *Wood ex rel. United States v. Applied Research Assocs., Inc.*, 328 Fed. Appx. 744, 747 (2d Cir. 2009). Thus, claims involving such allegations must meet an “elevated pleading standard.” *Iqbal*, 556 U.S. at 686–87.

Notably, Fed. R. Civ. P. 9(b)’s application is “not limited to allegations styled or denominated as fraud or expressed in terms of the constituent elements of a fraud cause of action,” but applies so long as the claims themselves are premised on allegations of fraud, or “sound in fraud.” *Rombach v. Chang*, 355 F.3d 164, 171 (2nd Cir. 2004); *see also Vess v. Ciba-Geigy Corp. USA*, 317 F.3d 1097, 1103 (9th Cir. 2003); *Lone Star Ladies Inv. Club v. Schlotzsky’s Inc.*, 238 F.3d 363, 368-9 (5th Cir. 2001) (“Rule 9(b) applies by its plain language to all averments of fraud, whether they are part of a claim of fraud or not.”); *SEC v. Binance Holdings Ltd.*, 738 F. Supp.3d 20, 37 (D.D.C. 2024) (court noting that “[t]he majority of circuits” apply Fed. R. Civ. P. 9(b) where a claim “sounds in fraud”); *MSP Recovery Claims, Series LLC*

v. Pfizer, Inc., No. 22-cv-01419(DLF), 2025 WL 689180, *3 (D.D.C. Mar. 4, 2025), *appeal pending*, No. 25-7045 (D.C. Cir., filed April 8, 2025)(“[T]he Court is persuaded by the analysis of numerous circuit and district courts that have held that a plaintiff must state with particularity the circumstances of the fraud when fraudulent actions form the basis of a claim.”).

This elevated pleading standard means that claims that include an element of fraud are subject to more stringent review on motions to dismiss. To satisfy Rule 9(b), “the plaintiff must allege (1) ‘the time, place, and content of the alleged misrepresentation,’ (2) ‘the fraudulent scheme,’ (3) the defendant’s fraudulent intent, and (4) the resulting injury.” *Smith v. Gen. Motors LLC*, 988 F.3d 873, 883 (6th Cir. 2021) (quoting *Wall v. Michigan Rental*, 852 F.3d 492, 496 (6th Cir. 2017)); *see also Cooper v. Pickett*, 137 F.3d 616, 627 (9th Cir. 1997) (requiring a plaintiff making a fraud claim to allege the “who, what, where, when, and how” of the alleged misconduct). “Bare-bones allegations” therefore do not suffice. *Lundy v. Cath. Health Sys. of Long Island Inc.*, 711 F.3d 106, 119 (2d Cir. 2013).

At no point in the Third-Party Complaint does COSCO state with particularity any circumstances constituting SDS’s alleged “concealment.” Nor are there any allegations setting forth the alleged involvement of SDS in the breach of contract dispute between SEA and COSCO. Simply put, COSCO’s “bare-bones” allegations against SDS completely fail to meet the applicable pleading requirements.

Moreover, as will be discussed further below, the Third-Party Complaint fails to meet even the Commission’s general pleading standard under the Commission’s Rule 62(a)(3)(iii)(46 C.F.R. § 502.62), as its allegations do not inform SDS with reasonable definiteness of the acts or practices alleged to be in violation of § 41102(a).

ARGUMENT

I. A Claim for Breach of Contract does not Establish an Intent Not to Perform the Contract

At its base, the Counterclaim against SEA as well as the Third-Party Complaint against SDS, asserts a breach of the terms of the alleged service contracts by way of SEA's demand for refunds and refusal to pay other COSCO invoices: an alleged breach of contract for which COSCO seeks to hold SDS (as well as SEA, SEC and Logitech) responsible and the basis on which to construct its retroactive theory of an alleged violation of the Shipping Act.

Essentially, COSCO argues that the breach of the service contracts can only be explained by the "concealed disagreement" of SDS (as well as SEA, SEC and Logitech) with the terms of the alleged service contracts at the time of negotiation and execution, and that by way of the "concealed disagreement," SDS (and the others) "induced" COSCO to enter the alleged service agreements (TPC ¶ 65(b)).

COSCO's theory of the case has no merit.

It is well established that a breach of contract claim, standing alone, is insufficient to allege an intent to breach the contract *ab initio*. See, e.g., *UMG Recordings, Inc. v. Global Eagle Entertainment, Inc.*, 117 F. Supp. 3d 1092, 1108 (C.D. Calif. 2015) ("In the context of this type of promissory fraud claim, alleging why the promise was false when made requires pleading facts from which it can be inferred that the promisor had no intention of performing at the time the promise was made. Mere nonperformance of a promise does not suffice to show the falsity of the promise.") (citation omitted); *Sizer v. New England Life Ins. Co.*, 871 F. Supp. 2d 1071, 1079 (D. Oreg. 2012) ("To establish a defendant's fraudulent intent regarding a promise to act in the future, a plaintiff must do more than show the eventual breach of that promise.") (citation omitted); *Hotel Constr., Inc. v. Seagrave Corp.*, 574 F. Supp. 384, 388 (S.D.N.Y. 1983) ("A purely conclusory

allegation that defendants never intended to perform, standing alone, could not convert a claim for breach of contract into one for fraudulent inducement to contract...(citations omitted); *Stanat Mfg. Co. v. Imperial Metal Finishing Co., Inc.*, 325 F. Supp. 794, 796 (S.D.N.Y. 1971) (“If a plaintiff could, merely by alleging that a contracting party never intended to fulfill his promise, create a tortious action in fraud, there would be no effective way of preventing almost every contract case from being converted to a tort for jurisdictional purposes.”)(citations omitted).

As set forth in a leading treatise:

When a promise is made in good faith, with the expectation of carrying it out, the fact that it subsequently is broken gives rise to no cause of action, either for deceit, or equitable relief. Otherwise any breach of contract would call for such a remedy. The mere breach of a promise is never enough in itself to establish the fraudulent intent. It may, however, be inferred from the circumstances, such as the defendant’s insolvency or other reason to know that he cannot pay, or his repudiation of the promise soon after it is made, with no intervening change in the situation, or his failure even to attempt any performance, or his continued assurances after it is clear that he will not do so.

W. Prosser, *The Law of Torts* § 109, at 730–31 (4th ed.1971)(quoted in *Asbury Square, L.L.C. v. Amoco Oil Co.*, 221 F.R.D. 497, 502 (S.D. Iowa 2004)).

In this matter, COSCO alleges that the service contracts were negotiated and executed. Under those contracts, thousands of containers were shipped from the Far East to the United States, all consigned to SEA.³ During the course of performance, disputes as to certain charges arose between COSCO and SEA ultimately leading to SEA’s filing of its complaint against COSCO. However, there is nothing in the course of these proceedings, particularly the allegations lodged by COSCO against SDS, which provide any support for an inference that SDS had “concealed” its “disagreement” with the terms of the service contracts nor has COSCO alleged anything to support

³ Although there is no allegation in the Third-Party Complaint concerning the subject of freight payments, given the volume of containers evidently carried by COSCO, it only seems logical to assume that substantial freight payments were made to COSCO.

its § 41102(a) claim against SDS other than its assertion of the breach of the terms of the alleged service contracts. On this basis alone, the Presiding Officer should dismiss the third-party complaint against SDS.

II. COSCO Does Not Allege Knowing and Willful Conduct by SDS

Section 41102(a)'s first element—knowing and willful conduct—is established if the party had knowledge of the facts of the violation and acted either intentionally or with reckless disregard, plain indifference, or purposeful or obstinate behavior akin to gross negligence. “Conduct is knowing and willful if it was carried out ‘purposely or obstinately’, or with ‘gross recklessness, heedlessness, or a callous disregard’ for the consequences *or* ‘plain indifference to the law’s requirements.’” *Rana v. Michelle Franklin, d.b.a. “The Right Move,”* 5 F.M.C.2d 7, 19-20, 2022 WL 1744905, *8 (FMC May 25, 2022)(emphasis in original)(quoting *Brokerage on Shipments of Ocean Freight—Max LePack, (Max LePack)*, 5 F.M.B. 435, 444 (FMB 1958)).

As noted above, COSCO's only allegation directed specifically against SDS is that SDS executed certain service contracts. This one allegation hardly adds up to actually pleading that SDS knowingly and willfully obtained or attempted to obtain ocean transportation from COSCO at less than the applicable rates, which COSCO must plead (and properly support in its allegations) in order to state a claim for violation of § 41102(a).

III. COSCO Does Not Adequately Allege False or Fraudulent Conduct by SDS

The second element of a § 41102(a) claim requires factual allegations that the subject party used false billing, classification, measurements or report thereof, or any other unjust or unfair device or means to obtain ocean transportation at less than otherwise applicable rates. *Rana*, 5 F.M.C.2d at 20 (citations omitted). COSCO's third-party complaint contains no allegation of false billing, false classification, or false measurement or reporting of cargo by SDS. Instead, COSCO merely makes

the conclusory allegation that SDS employed an “unjust or unfair device or means.” (TPC ¶ 66.)

Under the Commission’s regulatory interpretation of “unjust or unfair device or means” in connection with § 41102(a), to make a sufficient allegation of “unjust or unfair device or means,” a complainant must provide factual allegations establishing some element of fraud, concealment, or deceit. *Rana*, 5 F.M.C.2d at 20-21, 2022 WL 1744905 at *8 (to establish a violation of section 41102(a), “fraud or concealment is a necessary ingredient in the proof of an unjust or unfair device or means.”) (*quoting United States. v. Open Bulk Containers*, 727 F.2d 1061, 1064 (11th Cir. 1984)); *see also SeaFair USA LLC v. Sterling Container Line Ltd.*, FMC Dkt. No. 22-34, 2024 WL 1741926, *10 (ALJ Apr. 15, 2024) (same) *and* 46 C.F.R. § 545.2 (Commission’s regulatory guidance requiring “evidence of bad faith or deceit” for the Commission to infer an “unjust or unfair device”).

Because COSCO’s § 41102(a) claim requires an element of fraud or concealment, COSCO’s third-party complaint against SDS is subject to Fed. R. Civ. R. 9(b)’s heightened pleading standard regarding the circumstances of the alleged fraud or concealment, as discussed in detail above.

COSCO’s allegations of concealment amount to a claim that (1) SDS concealed its disagreement with the terms of the alleged contract at the time of the signing in order to induce COSCO into offering lower rates than it otherwise would have offered, (¶ TPC 65(b)) and (2) that SDS (in concert with SEA) then refused to pay and/or demanded refund of charges for which they were responsible (*Id.*). COSCO, however, provides no specifics to support its assertion that SDS disagreed with the terms of the alleged contract at the time the contract was signed.

What COSCO does allege is that SEA, in its Demand Letter of September 23, 2022, disagreed with detention and demurrage charges (Counterclaim ¶ 42). COSCO does not allege *how*

this was “unjust, unfair,” or otherwise an unlawful attempt to obtain ocean transportation at lower than standard rates nor does COSCO ever explain how this allegation relates to SDS. COSCO’s allegation does not reveal or illuminate any “evidence of bad faith or deceit” as required for the Commission to infer an “unjust, unfair device” as outlined in the Commission’s regulatory guidance for § 41102(a). *See* 46 C.F.R. § 545.2. Disagreement about charges certainly does not support a claim for concealment. Perforce, a signatory to a service contract can disagree with demurrage and detention charges, believing that an ocean carrier such as COSCO was at fault. As COSCO itself acknowledges, it is responsible for demurrage and detention charges where it is at fault (TPC ¶ 45). Similarly, “under the Service Contracts...Samsung [defined as SEC, SDS and Logitech] and SEA were responsible for detention and demurrage charges, *unless the delays resulted directly from fault by COSCO.*”(Counterclaim ¶ 36)(emphasis added). Mere disagreement with such charges cannot possibly support COSCO’s claim that SDS (or SEA, SEC or Logitech for that matter) secretly disagreed with the terms of the service contracts at the time of the execution of the contracts, let alone COSCO’s further claim of concealment of that disagreement.

COSCO’s allegations of “concealment” are further undermined by the fact that COSCO also alleges that, while SEA apparently paid the vast majority of detention and demurrage charges, it (as well as SDS, SEC and Logitech) nevertheless *refused to pay \$4 million in detention and demurrage charges*, prior to the issuance of its Demand letter. (Counterclaim ¶¶ 40, 43, 75; TPC ¶ 70)(emphasis added). COSCO’s awareness of unpaid detention and demurrage charges contradicts its pleading that SDS (as well as SEC and Logitech) had “concealed” their disagreement. Given these contradictions, COSCO’s pleading of concealment need not be assumed as true for the purpose of evaluating the motion to dismiss. *L-& Designs, Inc. v. Old*

Navy, LLC, 647 F.3d 419, 422 (2d Cir. 2011) (court noting that assumption of truth is not granted pleadings where they are contradicted by more specific allegations in the complaint).

Finally, COSCO's concealment allegations are undermined by the fact that COSCO cannot show how SEA's and Third-Party Respondents' purported concealment was "a means" to obtaining ocean transportation at less than otherwise applicable rates. According to COSCO, SEA paid the vast majority of detention and demurrage charges that it was assessed. (Counterclaim ¶¶ 42, 75). As a result, neither SEA nor Third-Party Respondents have received the purported "benefit" of its concealment, and SEA can only now receive it through a proceeding before the Commission.

COSCO's "concealment" claim is flatly different in kind from the type of concealment highlighted in case law, such as a party's seeking payment under a false classification, and concealing the false classification, in order to secure a reduced rate. *See Hohenberg Bros. Co. v. FMC*, 316 F.2d 381 (D.C. Cir. 1963). In *Hohenberg*, the petitioner conspired with the carrier to pay an artificially low rate on the shipment of cotton bales and attempted to conceal the incorrect rate from government inspectors and competitors who paid a higher rate. When government inspectors found the shipment and adjusted the shipping rates, the shipper again conspired with the carrier to undo the adjustment through a refund, which the shipper and carrier again attempted to conceal from government inspectors. In *Hohenberg*, the petitioner's concealment from government inspectors was obviously a means for the shipper to secure a reduced rate. In contrast to *Hohenberg*, SEA actively seeks to make its case publicly before the Commission to determine the correct allocation of detention and demurrage charges, a proceeding to which SDS is not a party nor has asserted any claim.

In sum, when subjected to Fed. R. Civ. P. 9(b)'s heightened pleading requirements, including explaining why SDS' actions are purportedly fraudulent, COSCO's pleadings collapse

upon even modest scrutiny, and must be dismissed.

IV. COSCO's Allegations Fail to Meet the Commission's General Pleading Standard

Even if the Presiding Officer declines to apply the heightened pleading standard required under Fed. R. Civ. P. 9(b), COSCO's third-party complaint still fails to meet even the Commission's general pleading standard under the Commission's Rule 62(a)(3)(iii)(46 C.F.R. § 502.62), as its allegations do not inform SDS with reasonable definiteness of the acts or practices alleged to be in violation of § 41102(a).

The substance of COSCO's claim that SDS engaged in some "unfair and unjust device" to obtain ocean transportation at rates lower than those that would typically apply is that SDS: (1) prior to the execution of the alleged service contracts, privately disagreed with COSCO over the terms of the service contracts relating to detention, demurrage and other charges; (2) in concert with SEA, demanded refunds of charges it contends were unlawfully imposed upon it, after COSCO had fully performed under its contracts; and, (3) in concert with SEA, demanded that COSCO waive future charges that it views as unlawful but COSCO contends would be lawful (TPC ¶¶ 65-67). Closely related to these actions is COSCO's allegation of an "unfair and unjust device" directed at SEA based on its filing of a Verified Complaint with the Commission on March 22, 2024. (Counterclaim ¶¶ 72, 73) -- SEA's actions being allegedly linked to the actions or omissions of SDS (as well as SEC and Logitech)(Counterclaim ¶¶ 36-41, 71-73) . But at no point does COSCO allege how SEA's exercise of its legal right to seek reparations under the Shipping Act is "unjust, unfair," or otherwise an unlawful attempt to obtain ocean transportation at lower than standard rates or how SEA's exercise of its rights (as the consignee responsible for the payment of legitimate charges) somehow makes SDS potentially liable under the Shipping Act. As noted earlier, COSCO's allegations only appear to have the initial whiff of plausibility

because COSCO downplays the fact that SEA paid the detention and demurrage charges and so has not received the “benefit” of its purported concealment, which it can only get through the Commission’s ruling in favor of SEA. Moreover, COSCO does not explain in any way how SEA’s actions relate back to SDS. As such, COSCO’s allegation amounts to nothing more than a mere conclusory allegation of a key element of § 41102(a).

V. Legal Proceedings Cannot Constitute Unfair or Unjust Devices

It is well-established at this point that the initiation of complaint proceedings before the Commission cannot, as a matter of law, constitute an unfair or unjust means of obtaining ocean transportation at less than the rates or charges that would otherwise apply under 46 C.F.R. § 502.62(b)(4).

While COSCO made no specific allegations in the third-party complaint related to the initiation of SEA’s FMC proceeding against COSCO, still those proceedings are inextricably linked to the impetus for COSCO to assert its claims against SDS (as well as SEC and Logitech) as shown by the extensive nature of the allegations involving SEA set out in the Third-Party Complaint as well as the wide scope of the allegations involving SDS (and SEC and Logitech) set out in the Counterclaim.

In *Samsung Electronics America, Inc. v. SM Line Corp.*, FMC Dkt. No. 23-01, *Order Denying Motion for Leave to File Third Party Complaint* (Doc. No. 59)(ALJ Jan. 31, 2024), the Presiding Officer dismissed a claim by Respondent SM Line that bringing a claim under the Shipping Act is an “unjust or unfair device or means” under § 41102(a), holding as follows:

Count II of the proposed third-party complaint alleges a violation of § 41102(a), which prohibits a person from knowingly and willfully obtaining ocean transportation at less than the rates or charges that would otherwise apply by means of false billing, classification, weighing, measurement, “or any other unjust or unfair means.” 46 U.S.C. § 41102(a). Count II...argues...that SEA’s complaint in this case is an unjust or unfair means of obtaining ocean transportation at less than

the applicable rate. ...[N]o authority has been cited for the unlikely proposition that a complaint alleging a Shipping Act violation – one found to be meritorious, as it would have to be for SEA and third-party respondents to success [sic] in their alleged “scheme” – is itself a violation of § 41102(a). Count II similarly does not satisfy the requirements of Rule 62(b)(4)[46 C.F.R. § 502.62(b)(4)]. *Id.* at p. 3.

As with the argument brought by Respondent SM Line in that matter, COSCO’s claim in the Counterclaim that the public filing of a Shipping Act complaint be deemed an “unjust or unfair device or means” (Counterclaim ¶¶ 71 – 73) to achieve lower ocean transportation shipping rates is unsupported, unlikely, and insufficient. For the same reasons, COSCO’s third-party complaint against SDS under § 41102(a) must necessarily be dismissed.

More recently, claims nearly identical to COSCO’s claims here were dismissed as a matter of law in *Samsung Electronics America, Inc. v. Orient Overseas Container Line, Limited and OOCL (Europe) Ltd.*, FMC Dkt. No. 24-17 (Doc. No. 38)(ALJ Mar. 31, 2025), *aff’d in part and remanded*, (Doc. No. 66)(FMC Jul. 30, 2025)(the “SEA/OOCL Matter”).⁴ OOCL’s counterclaim was predicated on the same § 41102(a) theory posited by COSCO here. The Presiding Officer issued an Order Granting Complainant’s Motion to Dismiss Respondent’s Counterclaim in the SEA/OOCL Matter, dismissing OOCL’s counterclaim with prejudice.

Concerning the allegations asserted against SEA related to the initiation of FMC proceedings against OOCL, the Commission endorsed the findings of the ALJ:

The ALJ was correct that simply pursuing a facially valid FMC case, as SEA has done here, cannot constitute an ‘unfair device’ or an effort to obtain less than applicable rates under the statute...First, pursuing such a case cannot, in and of itself, present the fraud and concealment required to constitute an ‘unjust or unfair device or means’ under the case law discussed above. *See Rana*, 2022 WL 1744905, at *8; *SeaFair*, 2024 WL 1741926, at *8-10.

Id. at 11.

⁴ The Commission has affirmed the Presiding Officer’s dismissal of OOCL’s counterclaim against SEA, albeit remanded the matter to allow OOCL “at least one chance to allege a plausible claim...” (Doc. 66 at 20).

In affirming the Presiding Officer's decision, the Commission also found that the allegations of deception and concealment asserted against SEA in the OOCL counterclaim were insufficient:

As noted above, the counterclaim does include factual allegations as to the making, content, and performance of the service contracts; it describes an alleged October 2022 'demand' by SEA that OOCL refund different types of late fees; it describes later interactions between the parties about such refunds; and it asserts that SEA's demand for refunds and its pursuit of this case seeking such a remedy violates section 41102(a)...But none of that alleges a plot to lower rates by secretly harboring and later acting on erroneous views about who was responsible for the type of delays at issue.

Id. at 17-18. Further, the Commission was doubtful that even if OOCL made additional allegations concerning SEA's alleged concealment, such would not necessarily state a viable claim:

We note that even if the counterclaim did contain the allegations OOCL makes in its brief, it is not evident that they would present the kind of fraud or concealment required to allege an 'unfair device' under section 41102(a). The cases on which OOCL relies all appeared to involve some type of factual deception or misrepresentation inducing a carrier to carry or release cargo...

Here, OOCL's brief appears to be alleging that SEA had a secret plan to get lower rates by making a type of service contract under which it would be legally responsible for the type of delays at issue. Then, under this alleged plan, SEA would evidently cause or at least permit such delays to occur, and even pay OOCL the resulting late fees, but would later demand unjustified refunds based on the incorrect claim that OOCL was responsible for the delays. Even that scenario seems less like the kind of fact-based fraud or concealment seen in successful cases and more akin to a disagreement about legal matters, which is not sufficient to support a section 41102(a) claim.

Id. at 18-19.

The logic and reasoning of the SM Line and SEA/OOCL decisions apply with equal force in this matter, logic and reasoning which can only lead to the dismissal of COSCO's third-party complaint against SDS.

CONCLUSION

Given the failure to plead a plausible or actionable claim under the Shipping Act, the Third-Party Complaint should be dismissed.

Accordingly, pursuant to Fed. R. Civ. P. 12(b)(6), 46 C.F.R. §§ 502.69 and 502.70, Third-Party Respondent SDS respectfully moves for an Order:

1. Dismissing with prejudice COSCO's Third-Party Complaint in its entirety; and,
2. Granting SDS all such other and further relief as may be just and proper.

Dated: August 4, 2025

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

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